<u>SECTION A – CASE QUESTIONS</u> **(Total: 50 marks)**

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

<u>CASE</u>

Leo and his girlfriend Lily (both Hong Kong residents) contributed HK$50,000 each in capital to form a Hong Kong company, A1 Technology Ltd ("A1 Technology"). Leo and Lily are also the directors of A1 Technology and regularly hold directors' meetings in Hong Kong. The business of A1 Technology is the provision of share trading advice for individual investors. Leo and Lily co-developed in Hong Kong a computer program called ShareNet. ShareNet is legally and beneficially owned and operated by A1 Technology, which maintains an office and operation team in Hong Kong.

ShareNet makes use of big data analytics and artificial intelligence to automatically capture data from social media related to Hong Kong listed companies. Unstructured information is collected, analysed, and stored in a database. ShareNet can then predict the share prices' movements based on the processed information.

When a customer desires to seek share trading advice from ShareNet, he or she must first enroll in a membership for a monthly subscription fee of HK$10,000. Once the customer has become a member and installed the mobile app, ShareNet will push the buy/ sell advice to the customer's cell phone once a day.

ShareNet is running on a cloud computing server located and operated by a reputable service provider in Singapore. All customer information is encrypted and secured by a team of IT and legal professionals based in Cyberport, Hong Kong.

In order to achieve fairness to all members, members are prohibited from sharing the buy/ sell advice with other members or non-members. Non-compliance will result in suspension of membership and legal action.

The technical and legal teams based in Hong Kong also perform the following functions:

(i) Day-to-day maintenance of ShareNet, including program debugging, system/ mobile app upgrades, and IT security.

(ii) Enhancement of the functionality of ShareNet, including feasibility studies on collecting information from other social media/ public sources and machine learning from investment experts in order to increase the predicting power of the buy/ sell advice.

(iii) Monitoring of the stock market and members' activities to identify any unusual buy/ sell transactions that may indicate unauthorised sharing of buy/ sell advice, and taking relevant legal action to terminate membership and handle lawsuits for compensation claims.

A1 Technology also licenses the ShareNet computer program, the mobile app, and the website design to a third party operator, B2 Technology Ltd ("B2 Technology") in mainland China. A1 Technology charges an annual fee of HK$6,000,000 solely in return for the on-demand technical support services that may be required by B2 Technology from time to time. The technical services will be performed by A1 Technology's chief technician at a dedicated room within the office of B2 Technology in Beijing.

Below is A1 Technology's Income Statement from 1 April 2018 to 31 March 2019:

	ShareNet operation	Provision of technical service	Total
	HK$	HK$	HK$
Membership income [Note 1]	8,200,000	-	8,200,000
Annual fee income [Note 2]	-	6,000,000	6,000,000
Gross income	8,200,000	6,000,000	14,200,000
Expenses:			
Depreciation	200,000	-	200,000
Office rental	600,000	-	600,000
Director's fee	800,000	-	800,000
Salaries [Note 3]	7,450,000	50,000	7,500,000
R&D expense [Note 4]	200,000	-	200,000
Overseas travelling	-	40,000	40,000
Other operating expense	300,000		300,000
	(9,550,000)	(90,000)	(9,640,000)
Profit/ (loss) before tax	(1,350,000)	5,910,000	4,560,000
Taxation [Note 5]			(900,000)
Profit after tax			3,660,000

[Note 1] All members are Hong Kong residents except for one who is a Singaporean residing in Singapore. The membership income from this Singaporean member is HK$25,000. This Singaporean member was introduced to the services of ShareNet when he met Leo at a business lounge in Singapore Airport.

[Note 2] This represents the income received from B2 Technology. For the technical services, the following are the itineraries of the chief technician during the financial year 2019:

Purpose of stay in Beijing	Date of arrival in Beijing	Date of departure from Beijing
System checking and diagnosis	1 Jun 2018	10 Jun 2018
System upgrade and testing	1 Sep 2018	15 Sep 2018

Note 3 The breakdown of salaries expense is as follows:

	Responsibility	HK$
General manager	Overall operation management	600,000
Technical team	Software maintenance/ development	3,000,000
Customer service team	Customer enquiry handling	1,200,000
Finance team	Billing and finance	1,500,000
Legal team	Intellectual property right protection	1,200,000
		7,500,000

Note 4 This represents the salary of the R&D coordinator, whose responsibility is to collect member feedback from the customer service team and work with the technical team to correct bugs in the computer program and enhance the functionality of ShareNet. The R&D coordinator is a holder of a Diploma in Accounting and is currently studying part-time at the Open University of Hong Kong in an undergraduate program in Computer Science.

Note 5 This represents the China withholding tax paid on the annual fee income from B2 Technology at a rate of 15% on the gross income.

A1 Technology's office lease in Cyberport, Hong Kong is going to expire in the next six months. Leo and Lily are aware of the various forms of support from mainland China for start-ups operating in the Greater Bay Area. They are contemplating the following initiatives:

(i) A1 Technology establishing a wholly owned IP holding company ("IP Holdco") and another operating company ("Opco") in Shenzhen.

(ii) A1 Technology transferring its proprietary interests in ShareNet and all related intellectual properties to IP Holdco at fair market value and all its business operations to Opco at net book value.

(iii) IP Holdco directly receiving membership income from members and entering into the following agreements with Opco and A1 Technology:

   (a) An R&D agreement with Opco for providing Opco with contract R&D service for a service fee computed on a cost plus 15% basis.

   (b) An administrative service agreement with A1 Technology for A1 Technology to provide billing, book-keeping and accounting, tax, and regulatory compliance services for a service fee computed on 30% of the gross income of IP Holdco.

(iv) Opco setting up an office with an R&D laboratory in a technology park in Shenzhen, with all teams (including Leo and Lily) and equipment previously located in Hong Kong being relocated to the Shenzhen office.

(v) Thereafter, A1 Technology terminating its office lease with Cyberport, and its presence in Hong Kong being restricted to a junior accountant working full time at his home, rendering the services mentioned in (iii)(b) above, for a monthly salary of HK$12,000.

Whilst considering the above initiatives, on 1 October 2019 Leo and Lily accepted the admission of Mr S, who is a resident of Country X, as the new shareholder of A1 Technology by selling 30% shareholding in A1 Technology to him. Mr S promised he would remain as a passive shareholder and would not be involved in the management and operation of A1 Technology, though he may occasionally use the Hong Kong bank account of A1 Technology for settlement of his personal investments.

Question 1 **(18 marks – approximately 32 minutes)**

(a) Analyse and determine the nature (business income vs royalty/ license fee) of A1 Technology's membership income earned from its members from a Hong Kong profits tax perspective.

(4 marks)

(b) Based on your answer to Question 1(a) above, further analyse the source of the membership income from a Hong Kong profits tax perspective by identifying the relevant activities and the location where such activities are performed.

(6 marks)

(c) Analyse the source of the annual fee income from B2 Technology from a Hong Kong profits tax perspective.

(2 marks)

(d) In respect of the annual fee income from B2 Technology (regardless of your conclusion of the income source above), analyse whether A1 Technology's activities/ presence in mainland China have constituted a permanent establishment.

In respect of the China withholding tax paid of HK$900,000, further analyse whether A1 Technology can obtain a tax deduction under Hong Kong profits tax, and whether a tax credit is available under the double taxation arrangement between Hong Kong and mainland China.

(6 marks)

Question 2 **(16 marks – approximately 29 minutes)**

(a) Explain the tax deduction of the in-house R&D expense under the relevant tax provision of the Inland Revenue Ordinance ("IRO") governing deduction on qualifying research and development expenditure. Analyse whether A1 Technology qualifies for such a deduction.

(6 marks)

(b) Compute A1 Technology's profits tax liability for the year of assessment 2018/19 assuming all income is treated as onshore and subject to Hong Kong profits tax. The computation should consider the tax treatment on the China withholding tax paid of HK$900,000 (Note 5 to Income Statement refers).

Note: Ignore provisional profits tax for the year, and assume A1 Technology is not eligible for the 2-tiered profits tax rates regime.

(10 marks)

Question 3 **(11 marks – approximately 20 minutes)**

(a) In respect of the new initiatives to restructure and relocate A1 Technology's business to the Greater Bay Area, explain the tax incentives available to the employees if they work for Opco from a China Individual Income Tax perspective.

(3 marks)

(b) Describe briefly the corporate income tax position of IP Holdco and Opco in mainland China. Your discussion should focus on those tax features (at least four) that are significantly different between Hong Kong and mainland China in order to allow Leo and Lily as owners of the business to better understand the change in corporate tax position after the business relocation.

(4 marks)

(c) Analyse briefly the issues from a transfer pricing perspective that Leo and Lily should be aware of before execution of the administrative service agreement between IP Holdco and A1 Technology.

(4 marks)

Question 4 **(5 marks – approximately 9 minutes)**

You are the Senior Tax Manager of the accounting firm that has provided tax compliance service to A1 Technology as a client for years. You know Leo and Lily very well and are fully aware of their background and A1 Technology's business operation. From a recent lunch meeting with Leo, you are aware of the admission of Mr S as a minority shareholder of A1 Technology and his request to use the company's bank account for personal investment transactions.

After the lunch meeting, Leo rang you and said Mr S would like to appoint your firm to file his individual tax return in Hong Kong.

Required:

Consider the issues you would like to highlight to the engagement partner in order to allow him to assess whether the firm should continue to provide tax services to A1 Technology from a risk management perspective, and suggest one action you may want to take before acceptance of Mr S's request.

(5 marks)

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End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

Question 5 (15 marks – approximately 27 minutes)

Dickson was born in Hong Kong in 1980. He has lived in Hong Kong since he was born. At all relevant times, he did not own any residential property other than the one situated in Singapore acquired jointly with his sister in 2015.

On 1 April 2017, Dickson in his sole name entered into a Formal Agreement for Sale and Purchase to purchase a residential unit in Kowloon Tong ("Property A") at a consideration of HK$11 million. The Conveyance on Sale was executed on 15 May 2017.

On 15 June 2017, Dickson entered into a tenancy agreement to let out Property A to Johnathan under the following terms and conditions:

- Term of lease: 2 years from 1 July 2017
- Monthly rental: HK$30,000 payable in advance on the first day of each month
- Deposit: HK$60,000 payable upon commencement of the lease and refundable upon completion of the lease
- Rates: HK$3,000 per quarter (after the Rates Concession) payable by Dickson

Johnathan failed to pay rent starting from February 2018, and Dickson subsequently discovered that Johnathan had left Hong Kong on 1 May 2018. Dickson forfeited the deposit that Johnathan had placed with him.

Dickson carried out decoration works after Johnathan had moved out of Property A. Dickson spent HK$50,000 in decorating the property.

On 15 July 2018, Dickson let out Property A to Helen under the following terms and conditions:

- Term of lease: 2 years from 1 August 2018
- Monthly rental: HK$32,000 payable in advance on the first day of each month
- Deposit: HK$64,000 payable upon commencement of the lease and refundable upon completion of the lease
- Rates: HK$3,000 per quarter (after the Rates Concession) payable by the tenant

Helen was a university student staying in Hong Kong by herself. On signing the tenancy, Helen's parents said that they preferred paying the rent in advance for their daughter. They then gave Dickson a cheque in the amount of HK$448,000, which includes 12 months' rent and the deposit.

On 20 December 2019, Dickson received a cheque in the amount of HK$50,000 from Johnathan.

Required:

(a) Explain and calculate the stamp duty that is payable by Dickson.

(6 marks)

(b) Compute the property tax payable by Dickson for the years of assessment 2018/19 and 2019/20.

(9 marks)

Question 6 (15 marks – approximately 27 minutes)

Both Mr and Mrs Wong were born in Hong Kong and have Hong Kong Identity Cards. Mrs Wong has a right of abode in Canada but Mr Wong does not. The couple has a daughter born in Canada in September 2001. Their daughter left Hong Kong to study in Canada when she reached 12 years old. Mrs Wong stayed in Canada with her daughter, whereas Mr Wong worked in Hong Kong and lived with his parents in his parents' property.

Mrs Wong did not like the living environment in Hong Kong, and she seldom came back to Hong Kong after moving to Canada. Initially, Mrs Wong resided with her parents in Canada. Later, she bought a house and lived with her daughter. At the same time, she started her own business by acting as a private tutor teaching piano at home.

Mr Wong visited his wife and daughter bi-monthly. He spent one or two weeks with them depending on his work schedule but spent a longer time with them on Christmas, Chinese New Year, and during the Easter holidays.

Mrs Wong still owns a property in Hong Kong in her sole name. She let out the property for rental income.

Mrs Wong wants to elect for personal assessment for the years of assessment 2017/18 and 2018/19 to reduce her tax liabilities.

Required:

Mrs Wong has engaged you as her tax advisor. Prepare a memo to Mrs Wong to advise, with reference to the relevant legal principles, whether she is eligible to elect for personal assessment for the years of assessment 2017/18 and 2018/19.

Note: A maximum of 2 marks for communication skill and 2 marks for analytical skill will be awarded.

(15 marks)

Question 7 **(12 marks – approximately 21 minutes)**

Mr Ng has been employed by ABC Bank Limited ("the Employer") as Financial Management Manager since 1 January 2011. The employment contract provided that either the Employer or Mr Ng may terminate the employment by giving the other party three months' notice in writing or by paying the other party a payment in lieu of notice.

On 31 December 2016, Mr Ng gave notice of resignation to the Employer. On the same date, the Employer entered into a separation agreement ("the Separate Agreement") with Mr Ng in which the parties agreed on, amongst others, the following:

(a) The Employer accepted Mr Ng's resignation and Mr Ng:
   (i) will work in the office of the Employer until 28 February 2017; and
   (ii) will be on "Garden Leave" from 1 March to 31 March 2017.

(b) The employment will be terminated on the close of business on 31 March 2017.

(c) The Employer will pay the following sums in full and final settlement of any and all contractual and statutory or other entitlements that Mr Ng has, or may have, from the Employer relating to the termination:
   (i) The base salary from 1 January 2017 to 31 March 2017: HK$150,000 (i.e. HK$50,000 x 3 months);
   (ii) The accrued but unconsumed annual leave as at 31 March 2017: amount to be determined; and
   (iii) The goodwill ex-gratia payment: HK$300,000 (i.e. HK$50,000 x 6 years' service) ("the Ex-gratia Payment").

Mr Ng contended that he signed the Separate Agreement involuntarily. He did not want to quit the job. He has lodged a claim with the Labour Tribunal contending that he was dismissed unfairly by the Employer, but he discontinued the claim subsequently as he had great concern of the legal cost.

Mr Ng claimed that the Ex-gratia Payment should not be chargeable to salaries tax as it was compensation for wrongful dismissal. It was not an employment benefit.

Required:

Analyse with reference to the relevant provisions of the IRO and legal principles whether the Ex-gratia Payment should be chargeable to Salaries Tax.

(12 marks)

Question 8 **(8 marks – approximately 14 minutes)**

ABC Company Limited ("ABC Co") is a private company in Hong Kong engaged in the trading of securities. It prepared its audited accounts in accordance with the Hong Kong Financial Reporting Standards issued by the Hong Kong Institute of Certified Public Accountants. Its profits and loss account for the years ended 31 December 2017 and 2018, respectively, showed revaluation gains on listed trading securities of HK$10 million.

Required:

Assuming you are appointed as the tax representative of ABC Co, advise with reference to the relevant provisions of the IRO and legal principles and the measures announced by the Inland Revenue Department, whether the gains arising from revaluation should be offered for assessment in the years of assessment 2017/18 and 2018/19.

(8 marks)

* * * END OF EXAMINATION PAPER * * *